

PH Group (CIMA F1 modified)

The draft summarised statements of financial position as at 30 September 20X1 for two entities PH and SU are given below:

	PH	SU
	£'000	£'000
Non-current assets		
Property, plant and equipment	66,790	57,590
Investments		
48,000,000 Ordinary shares in SU at cost	75,590	-
Loan to SU	12,600	-
	154,980	57,590
Current assets		
Inventories	10,160	14,410
Current account with SU	10,000	-
Trade receivables	21,400	13,200
Cash and cash equivalents	1,260	3,600
	42,820	31,210
Total assets		
	197,800	88,800
Equity		
Equity shares of £1 each	126,000	48,000
Retained earnings	26,500	15,600
	152,500	63,600
Non-current liabilities		
Long term borrowings	30,700	12,600
Current liabilities		
Trade payables	14,600	5,400
Current account with PH	-	7,200
Total equity and liabilities		
	197,800	88,800

PH Group continued...

Additional information

- (i) PH acquired all of SU's equity shares on 1 October 20X0 for £75,590,000 when SU's retained earnings were £7,680,000. PH also advanced SU a ten-year loan of £12,600,000 on 1 October 20X0.
- (ii) The fair value of SU's property, plant and equipment on 1 October 20X0 exceeded its book value by £1,300,000. The excess of fair value over book value was attributed to buildings owned by SU. At the date of acquisition, these buildings had a remaining useful life of 20 years. PH's accounting policy is to depreciate buildings using the straight-line basis, with nil residual value.
- (iii) At 30 September 20X1 £90,000 loan interest was due on the loan made by PH to S which had not been paid. Both PH and SU had accrued this amount at the year end.
- (iv) SU posted a cheque to PH for £2,800,000 on 29 September 20X1 which did not arrive until 7 October 20X1.
- (v) PH occasionally trades with SU. In September 20X1 PH sold goods to SU for £6,000,000. PH sells goods at a margin of 20% on sales. On 30 September 20X1 all the goods were included in SU's closing inventory.

Required

- (a) Define what is meant by control and explain how this is determined according to IFRS 10 *Consolidated Financial Statements*. (5 marks)
- (b) Prepare the consolidated statement of financial position for the PH group as at 30 September 20X1, in accordance with the requirements of International Financial Reporting Standards. (20 marks)

Notes to the financial statements are not required but all workings must be shown.

(Total 25 marks)